

Concept	Formula	Example
Cash Disc Payment	$= \text{Invoice} \times (1 - \text{cash rate})$	$\$4,200 \times 0.98 = \$4,116$
Cash Disc Savings	$= \text{Invoice} \times \text{cash rate}$	$\$4,200 \times 0.02 = \84

Check Your Understanding

Answer these questions before class. Bring your work — we'll use these as discussion starters.

1.

A surfboard has a list price of \$525.00. A retailer receives a 22% trade discount. What is the net price?

2.

Tidal Goods receives a chain discount of 25/10 on a \$380 order of accessories. What is the net price?

3.

An item has a list price of \$75.00 and is subject to a 30/15/5 chain discount. Calculate the net price.

4.

What is the single equivalent discount rate for a 30/15/5 chain discount?

5.

An invoice for \$6,500 has terms of 2/10 net 30. How much is saved by paying within 10 days?

6.

Tidal Goods receives invoice terms of "3/15 net 45." What does each number represent?

7.

A buyer can take a 2/10 net 30 cash discount or pay the full amount in 30 days. If the invoice is \$2,800, what is the annualized cost of NOT taking the discount?

Answer Key

1. $\$525.00 \times (1 - 0.22) = \$525.00 \times 0.78 = \$409.50$

2. $\$380 \times (1 - 0.25) \times (1 - 0.10) = \$380 \times 0.75 \times 0.90 = \256.50

3. $\$75 \times 0.70 \times 0.85 \times 0.95 = \42.53